The CLARITY Act Trade

Sensitivity Tiering, Event Basket and Failure Hedge

Conclusions first. The Digital Asset Market Clarity Act passed the House in July 2025 and cleared Senate Banking 15-9 in May 2026. A floor vote hinges on three unresolved disputes: stablecoin yield, DeFi oversight and the ethics provision. We rank twenty tokens by expected price sensitivity to a passage headline, not by fundamental benefit. The unpriced delta sits in DeFi fee-switch and revenue tokens (UNI, AAVE, ENA, SKY, LDO), not in the widely traded commodity-reclassification names (XRP, SOL). We express the view as a sensitivity-weighted long basket with an estimated 2.2x event beta, funded by a BTC short, and specify a defined hedge for the failure scenario: unhedged, a collapsed vote or a punt past the August window likely costs 15 to 25 percent versus BTC; the hedge stack cuts that to roughly 6 to 12 percent.

1 Legislative State of Play

The bill needs 60 votes on the Senate floor, a merger with the Agriculture Committee's parallel text, and House reconciliation before it reaches the President's desk. The ethics provision restricting officials from profiting from crypto remains the single largest variable for floor passage. Even on passage, SEC, CFTC and Treasury rulemaking runs into 2027, so the event trade prices the option, not the cash flows.

Bitcoin already holds the most comprehensive commodity treatment available and gains little incremental benefit from passage. The trade is therefore explicitly an altcoin regulatory beta expression, which is precisely why BTC is the correct funding leg for the short side.

2 Sensitivity Tiering, Ranked by Unpriced Delta

Three ranking drivers: how binary the regulatory question is for the token; market capitalisation and liquidity; and how much anticipation is already priced. This inverts the naive beneficiary list: XRP and SOL fall sharply because the market has traded their clarity story since 2023.

Tier	Event beta	Tokens (ranked)	Transmission mechanism
1 Binary / existential	2.5x – 4.0x	ENA, UNI, PUMP, LDO	Stablecoin yield language (ENA) and fee-switch legality (UNI) map one-to-one onto the open Senate disputes; staking treatment (LDO); small-cap convexity (PUMP)
2 Re-rating candidates	2.0x – 2.5x	AAVE, SKY, AERO, RAY, ETHFI, ONDO, JUP, HYPE	Revenue protocols trading at roughly 1x to 9x trailing revenue; institutional flow re-rates multiples once the legal status of protocol cash flows resolves
3 Overhang removal	1.5x – 2.0x	HBAR, XLM, ADA, XRP, CAKE	Commodity reclassification confirms rather than changes status; largely anticipated, with XRP the most fully priced within the bucket
4 Majors	1.0x – 1.5x	SOL, LINK, ETH	Structural winners via growth in on-chain activity, but size and diffuse transmission cap headline elasticity

3 Event Basket Construction

Long a twenty-name basket at 100 percent notional, with weights set by sensitivity scaled by a liquidity cap, funded by a BTC short at 60 to 70 percent of long notional. The residual 30 to 40 percent net delta is deliberate: passage likely lifts the whole tape. For a purer event expression, run fully hedged and add a 20 to 30 percent ETH short sleeve, which correlates more tightly with the DeFi longs and cuts residual variance. Weighted basket event beta is approximately 2.2x.

Token	Beta	Wt	Token	Beta	Wt	Token	Beta	Wt	Token	Beta	Wt
UNI	3.5x	12%	**ONDO**	2.0x	6%	**AERO**	2.3x	4%	**XLM**	1.8x	3%
AAVE	2.5x	11%	**HYPE**	1.8x	6%	**XRP**	1.6x	4%	**ADA**	1.7x	3%
ENA	3.5x	9%	**JUP**	2.0x	5%	**HBAR**	1.9x	4%	**LINK**	1.3x	3%
SKY	2.2x	7%	**SOL**	1.3x	5%	**RAY**	2.3x	3%	**PUMP**	3.0x	2%
LDO	3.0x	6%	**ETHFI**	2.2x	4%	**CAKE**	1.6x	2%	**ETH**	1.1x	1%

Position caps. ENA is held at 9 percent despite the highest raw sensitivity because adverse stablecoin-yield text turns passage into a negative for the name; it is the one token where the event is not unambiguously positive. PUMP, AERO and RAY are capped at 2 to 4 percent on market depth, as institutional size cannot exit in a failure scenario without moving the names. Express the small-cap tail via perpetuals rather than spot for exit speed, subject to funding, which runs rich on passage speculation.

4 Failure Hedge: If the Bill Does Not Go Through

Failure is defined as any of: a collapsed floor vote, a punt beyond the August window without scheduling, or ethics-provision deadlock forcing a strip-down of the bill. The basket is roughly symmetric around the event, so failure is not a tail case but a core scenario to engineer against. The hedge has three layers, sized against the long basket notional:

Layer	Instrument	Size	Rationale and trigger
1 Core relative hedge	Short ETH perpetuals, in addition to the BTC funding short	25–30%	ETH is the tightest correlate of the DeFi longs; on failure the basket underperforms ETH by less than it underperforms BTC, so this leg cuts drawdown variance. Held from inception
2 Tail protection	Puts on SOL and ETH, one to two month tenor, 10 to 15 percent out of the money	1.5–2% premium	Direct downside options on most basket names are illiquid or unlisted; SOL and ETH puts are the cheapest liquid proxy for an alt-complex flush. Roll if the vote slips
3 Event trigger overlay	Pre-set de-grossing plan: cut Tier 1 longs by 50 percent and PUMP, RAY and AERO to zero	Rule-based	Triggers: cloture vote fails, the Majority Leader pulls the bill, or the ethics negotiation formally collapses. Liquidity in Tier 1 names evaporates fastest on failure; speed beats price

5 Scenarios

Scenario	Basket vs BTC	Net P&L; with hedge layers	Action
Clean passage	+30% to +50%	Strongly positive; hedge stack costs 3 to 5 percent	Take profit in Tiers 1 and 2 into the headline; rulemaking is slow and the cash flows arrive later
Passage with adverse stablecoin text	+15% to +30%; ENA negative	Positive; ENA drag contained by the 9 percent cap	Rotate ENA weight into UNI and AAVE
Delay past August	-10% to -15%	Modest loss; ETH short and puts offset roughly half	Hold half position; roll puts; re-add on confirmation of floor scheduling
Failure or collapse	-15% to -25%	Loss cut to roughly -6% to -12%	Execute de-grossing rules; retain a reduced UNI and AAVE core, as the fee-switch and re-rating theses survive a delayed bill

6 The Sleeper and the Convex Core

ENA is the only token where the Senate's three open disputes map one-to-one onto its business model, which makes it the highest-sensitivity name in both directions. UNI is the cleanest convex expression: the fee switch has been blocked for years almost purely on securities risk, and passage converts a governance token into a de facto cash-flow claim on one of the largest revenue bases in the sector. AAVE carries the largest quantified upside among the majors on published sell-side scenarios tied to regulatory clarity accelerating tokenised-asset adoption.

7 Execution and Risk Notes

Entry. Stagger: half now, half on confirmation of Senate floor scheduling. The add signal ahead of the vote is resolution of the ethics provision, the single live variable.

Structural caveat. Governance tokens do not always carry a legally enforceable claim on protocol revenue, and DAO legal structures vary. Final bill text may shift the treatment of stablecoin rewards, staking services and DeFi governance functions; the fee-switch names are convex in both directions.

Estimation caveat. Event betas and P&L; ranges are analytical judgments on unpriced sensitivity, not regression outputs. There is no clean historical event to calibrate against; treat the figures as ordinal rankings with rough magnitudes and size accordingly.

Liquidity. Funding on the small-cap perpetuals runs rich on passage speculation and should be monitored as a running cost against the event premium. In a failure scenario, exit speed in Tier 1 names dominates exit price.

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